

Small Business Management (Past Paper Short Ques)

(i) Business Plan:

(2020)

A business Plan is a formal Plan Prepared to serve as a tool for attracting the other Components of the business formation Package, including People and money.

(ii) Reasons to buy an existing business:

- Personnel are already working
- The facilities are already available.
- A Product is already being Produced for an existing market.
- The location may be desirable.

(iii) Advantages of Partnership:

- Easy to form
- Division of labor and management responsibility.
- Can Use ideas and Plans of more than one Person.
- Specialized skills available from individual Partners.

(iv) Market Segmentation:

Market Segmentation is identifying and evaluating various layers of a market. Segmentation means to divide the marketplace

into Parts, segments.

(v) Entrepreneur:

The goals of an entrepreneur include achievement, Profit, and growth, achieved through innovation and strategic management.

Intrapreneur:

An Intrapreneur is an employee who takes direct responsibility for turning an idea into a new Product or service.

(vi) Market Penetration:

Market Penetration refers to the successful selling of a good or service in a specific market. It means the amount of a Product or service that is sold to customers compared to the estimated total market for that Product or Service.

(vii) Brainstorming:

Brainstorming is a method of generating ideas and sharing knowledge to solve a Particular commercial or technical Problem, in which Participants are encouraged

to think without interruption.

(viii) Business Process Reengineering:

Business Process Reengineering is the radical redesign of business processes to achieve dramatic improvements in productivity, cycle times, quality, and employee and customer satisfaction.

(ix) External audit of organization environment:

The main aim of the external audit is to review your business' environmental Policy, environmental management Programme, Operational Controls and audit Cycle.

(x) How can we Prepare next generation for key Positions

(2021)

(i) Executive Summary:

The executive summary is a brief overview of the most important information in a business Plan.

(ii) Downsizing:

Downsizing is reducing the number of employees to increase efficiency. It is the process of terminating multiple employees at the same time.

(iii) Disadvantages of Proprietorship:

- limited Capital
- Difficulty in obtaining credit.
- Inadequate management and employee skills.
- Unlimited liability for the firms debts.

(iv) Product life Cycle:

The Product life Cycle consists of four stages; Introduction, growth, maturity and decline. During each stage, the Product experiences different levels of sales and Profits.

(v) Advertising:

Advertising informs customers of the availability, desirability, and uses of a product. Advertising is the marketing activity that can help you to reach out to potential customers and encourage them to buy your products.

(vi) Four reasons to start a new business:

- Obtain Fresh Inventory.
- Define the nature of the business.
- Select a competitive environment.
- Create the preferred type of physical facilities.

(vii) Types of Intermediaries:

Intermediaries are those units or institutions in the channel of distribution that either take title to or negotiate the sale of the product. Following are the intermediaries types.

→ Brokers

→ Agents

→ Wholesalers

→ Retailers

(viii) Market Development :

Market development is a growth strategy that identifies and develops new market segments for current products. A development strategy targets non-buying customers in currently targeted segments.

(2017)

(i) Enlist some Contribution of Small business:

- Encourage innovation and flexibility.
- Generate new employment
- Maintain close relationships with customers and the community.
- Keep larger firms competitive
- Develop risk takers
- Provide employees with comprehensive learning experience.
- Provide greater employee job satisfaction.

(ii) Reengineering:

Reengineering is the redesign of operations, starting from scratch.

Reinvention:

Reinvention is the fundamental redesign of a business, often resulting in reduction in size and markets.

(iii) Niche Marketing:

Niche Marketing is the process of finding a small — but Profitable — demand for something and Producing a custom made Product for that market.

(iv) Types of franchising system:

There are two types of franchising system.

→ Product and trademark franchising:

Product and trademark franchising grants the franchisee the right to sell a widely recognized product or brand.

→ Business Format franchising:

Business Format franchising grants a franchisee the right to market the product and trademark and to use a complete operating system.

(v) Joint Venture:

A form of temporary Partnership whereby two or more

firms join in a single endeavor to make a Profit.

(vi) Estate Planning:

Preparing for the orderly transfer of the owner's equity in the business when death occurs.

(vii) Factors need to be considered when choosing the legal form of business:

- Your vision regarding the size of your business
- The nature of your business.
- Expected Profit (or loss).
- The level of control you desire.
- The level of structure desired.
- Earnings reinvestment.

(viii) SMEDA:

"Small and Medium Enterprises Development Authority"

It is an autonomous institution of the Government of Pakistan under Ministry of Industries and Production. Its Purpose is to encourage and facilitate the development and growth of small and medium enterprises in the Country.

(ix) Family-Owned business:

A family-owned business is any company owned by two or more family members and the family holds majority control or ownership. It is business that is directed and controlled by multiple generations of a family.

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(i) Micro Small business:

A micro business has only one to four employees. It is a business that operates on a very small scale. Micro Small business relies on small teams of employees and have lower revenue and Profitability.

(ii) S Corporation:

An S Corporation is a special type of Corporation that is exempt from multiple taxation and excessive Paperwork.

(iii) Four advantages of Corporation:

- It can have representative management.
- Ease of raising large amount of capital.
- Legal entity separate and distinct from its owners as individuals.
- Owners liability for the firm's debts limited to their investment in it.

(iv) Operational Planning:

Operational Planning sets Policies, Procedures and standards for achieving objectives. Operational Planning is the result of a team or department working to execute a strategic Plan.

(v) Points to study the market:

Estimating and determining the size of the market and industry.

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Estimate your competition and determine how you
sack up against it.

Estimate your own share of the market.

(vi) What is an idea?

An idea is the reason for setting up a firm. It
drives everything about the company, from what products
and services are offered to how these products are
marketed. The idea must have the potential to
capture part of its target market.